hyper-local, often tech-savvy, and have an understanding born of genuine grassroots' needs. Four major qualities underpin their success: resilience, inclusiveness, sustainability and innovation. So, when Satyam Sundaram couldn't find a government job in his home state Bihar, he enrolled for an MBA in a Kolkata institute. Cashing in on the post-COVID 'return to nature' sentiment, he took to transforming bamboo into a variety of products. Setting up a factory on his father's land in Purnia, with a loan from the PM's Employment Generation Programme, a credit-linked subsidy scheme, he hired artisans to make multiple products, including handbags, toothbrushes, tongue cleaners and pen holders. Today, he boasts an annual turnover of over Rs 40 lakh.

THICKET OF COMPLIANCES

However, despite these successes, micro and small entrepreneurs have to fight a jungle of regulatory constraints and bureaucratic hurdles. Bharatiya Yuva Shakti Trust founder and managing trustee Lakshmi V. Venkatesan, who in the past three decades has been involved in boosting micro and small industries, says, "Many micropreneurs still rely on informal sources as they find bank paperwork time-consuming, lack credit history, or are not digitally literate. Thus, ease of access becomes critical. Banks take over six months to process loans, causing delays. And 85 per cent of women micro entrepreneurs could not secure loans." She also thinks that the current average loan size of Rs 65,000 per person under the Mudra scheme is insufficient for micropreneurs to expand and sustain their businesses effectively. "The government needs to increase the loan amounts, provide interest subvention and lower margin money," she advocates. GST rules need to be simplified too, as micro enterprises currently have to file over 30 compliances annually.

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>
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> *Founder & MD, Bharatiya Yuva Shakti Trust*



She says most micro units are under-capitalised, operate in isolation, are not part of the national or global value chains and are in urgent need of mentoring. Also required is infrastructure development, particularly in Tier 3 and Tier 4 towns, to improve logistics, reduce costs and enhance market access.

A survey by the Small Industries Development Bank of India (SIDBI) this May highlighted these very concerns, revealing how inadequate credit access remains a key challenge despite the clutch of government policies. Borrowing from informal sources is a significantly high 12 per cent for micro enterprises, compared to 2 and 3 per cent, respectively, for small and medium enterprises. Almost one out of five units surveyed said they faced intense competition and had to struggle to expand to new markets. Manoj Mittal, SIDBI's chairman and managing director, points out, "While there has been tremendous progress in this sector, issues like limited access to affordable capital, constrained market reach, inadequate infrastructure, shortage of skilled labour, lack of technological adoption and productivity challenges are some of the critical barriers impeding their growth."

Cognisant of these constraints, the Modi government is working to remove them. Soon after his Independence Day address, the PM summoned key cabinet ministers and asked them to prepare a blueprint for rapid economic change in the face of high US tariffs and geopolitical shifts. In the MSME sector, to keep pace with the technologies transforming businesses, from AI adoption to Internet of Things integration, the Centre plans to turn MSMEs into "innovation laboratories" by incentivising them to focus on clean technology and manufacturing missions and be at the forefront of green economy transitions. Among the schemes launched are ASPIRE, or 'A Scheme for Promotion of Innovation, Rural Industry and Entrepreneurship', to set up incubators for start-ups at the district level.

Mishra says that deregulation would be a continuing priority. The Jan Vishwas Bill 2.0, introduced during the monsoon session of Parliament, aims to target 288 provisions for decriminalisation. The push for better infrastructure remains a top concern, too, along with interventions in key sectors to provide more production-linked incentives (PLIs) and big investments in skill development. In addition to these measures and in an attempt to accelerate overall economic growth, the Modi government is also focusing on boosting agricultural productivity for self-reliance, improving India's innovation quotient, making its financial system more inclusive, vastly improving the digital public infrastructure and strengthening governance to ensure the implementation of all development schemes, apart from streamlining the bureaucracy. All these are key, since micro entrepreneurs, as the shining examples in the following pages show, are not the footnotes of India's growth story but its prime movers. ■